

Amendment No. 1 to SB0168

Bailey
Signature of Sponsor

AMEND Senate Bill No. 168*

House Bill No. 439

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 9, Chapter 4, is amended by adding the following as a new part:

9-4-1501. Part definitions.

As used in this part:

(1) "Bullion" means a precious metal that is formed into uniform shapes and quantities such as ingots, bars, or plates, with uniform content and purity, as are suitable for or customarily used in the manufacturing process for fabricating specie;

(2) "Coin" means:

(A) Precious metal fabricated into products of uniform shape, size, design, content, weight, and purity that are suitable for or customarily used as currency, as a medium of exchange, or as the medium for purchase, sale, storage, transfer, or delivery of precious metal in retail or wholesale transactions; or

(B) Refined precious metal bullion, stamped or imprinted with its weight and purity and valued primarily based on its metal content and not its form;

(3) "Precious metal" means silver and gold; and

(4) "Specie" means a precious metal stamped into coins of uniform shape, size, design, content, and purity, suitable for or customarily used as

currency, as a medium of exchange, or as the medium for purchase, sale, storage, transfer, or delivery of precious metal in retail or wholesale transactions.

9-4-1502. Establishment of the precious metals fund.

(a) There is created within the state treasury an enterprise fund to be known as the precious metals fund for the purpose of acquiring, converting, storing, and selling precious metal bullion and specie.

(b) The treasurer shall administer the precious metals fund. The treasurer may:

- (1) Acquire precious metal bullion using appropriated state funds;
- (2) Contract with a toll converter for the conversion of bullion into specie;
- (3) Store and secure precious metal bullion and specie acquired under

this section;

(4) Sell up to ten percent (10%) of the converted precious metal specie to citizens of this state and other states for the purpose of establishing:

(i) The brand and reputation of Tennessee bullion; and

(ii) The fair market value of bullion manufactured in this state and held by the state;

(5) Retain no less than ninety percent (90%) of the precious metal specie for state reserves, either within the precious metals fund, or another fund as the treasurer deems appropriate, as a hedge against inflation, in accordance with § 9-4-1504(c);

(6) Generate revenue through the sale of precious metal specie and through the storage of third-party precious metals, as provided in § 9-4-1505; and

(7) Establish rules, policies, and procedures to ensure the security, accounting, and reporting of fund activities.

(c) Due to the financial importance of this part, when reviewing bids and selecting a contractor, the treasurer shall consider a company's business presence in this state and years of operation and experience in this specialized field.

9-4-1503. Initial and recurring funding.

(a) It is the legislative intent that for fiscal year 2025-2026, the sum of fifty million dollars (\$50,000,000) be appropriated from the state's general fund to the precious metals fund for the purchase of precious metal bullion.

(b) It is the legislative intent that for each subsequent fiscal year, the general assembly appropriate fifty million dollars (\$50,000,000) to the precious metals fund to continue bullion acquisitions and the conversion of bullion to specie.

(c) In addition to appropriations made to the fund, the fund consists of revenues generated through:

(1) The sale of precious metal specie as permitted under this part;

(2) Fees collected for third-party storage of precious metals within state-managed facilities; and

(3) Any other funds, public or private, by way of gift or grant to the fund.

9-4-1504. Precious metal specie transactions.

(a) The treasurer shall ensure that all precious metal bullion purchased pursuant to this part is converted to specie by a Tennessee-based toll converter within twelve (12) months of the date the bullion is acquired. The treasurer is encouraged to purchase the precious metal specie from a company with extensive experience in coin type products, with at least forty (40) years' experience selling coin type products and at least fifty (50) years of participation in the industry.

(b) The treasurer shall develop and implement a process for the sale of up to ten percent (10%) of the converted precious metal specie to citizens of this state and other states, with preference given to residents of this state to the extent permitted by law.

(c) The treasurer shall hold the remaining converted precious metal specie as a long-term hedge against inflation and economic instability, using silver specie holdings to protect state assets from potential price increases. The treasurer shall ensure that the specie is stored in a manner that is not directly tied to the United States dollar.

9-4-1505. Third-party storage of precious metals.

(a) The treasurer may establish a secure storage program to permit third parties, including individuals, businesses, and other state governments, to store precious metal specie or other precious metals in state-secured facilities.

(b) If the treasurer establishes a secure storage program pursuant to subsection (a), then the treasurer shall establish storage fees at a rate sufficient to cover operating costs and generate additional revenue for the precious metals fund.

9-4-1506. Oversight and reporting.

(a) The treasurer shall ensure that all transactions and fund operations pursuant to this part are conducted in a transparent manner. Transactions and fund operations under this part are subject to audit by the comptroller of the treasury.

(b) No later than sixty (60) days after the end of each fiscal year, the treasurer shall submit an annual report to the general assembly that contains data on the following for the most recent fiscal year:

- (1) The amount of precious metal bullion acquired and converted to specie;
- (2) The total quantity and market value of precious metal specie held by the state;
- (3) Revenue generated from sales of specie and third-party storage fees; and
- (4) Any additional recommendations regarding fund operations that the treasurer may deem appropriate to include in the annual report.

(c) The treasurer shall submit a copy of the report required by subsection (b) to the chief clerk of the senate, the chief clerk of the house of representatives, and the legislative librarian. The treasurer may submit the report by electronic means.

SECTION 2. Tennessee Code Annotated, Section 9-4-612(a), is amended by deleting the language "or any other law to the contrary" and substituting "or another law to the contrary, and except as provided in subsections (i)-(n)".

SECTION 3. Tennessee Code Annotated, Section 9-4-612, is amended by adding the following as new subsections:

(i) Notwithstanding the state treasurer's discretionary investment authority pursuant to subsection (a), the state treasurer, in consultation with the comptroller of the treasury, may:

(1) Purchase precious metal bullion that will be directly owned by the state and held in the custody of the state treasurer; and

(2) Establish rules, policies, and procedures:

(A) Establishing quality standards and purity levels for precious metal;

(B) Requiring that any precious metal bullion that is purchased be converted into specie within twelve (12) months of the date of purchase;

(C) Requiring that no less than ninety percent (90%) of any precious metal specie owned by the state be stored in a secure depository as a hedge against inflation, using silver specie holdings to protect state assets from potential price increases;

(D) Requiring that precious metal specie owned by the state be stored in a manner not directly tied to the United States dollar; and

(E) Permitting the retail sale of up to ten percent (10%) of the state's precious metal specie.

(j) Funds for the purchase and sale of precious metal bullion and specie must come from the precious metals fund. Any funds remaining in the precious metals fund at the end of any fiscal year must be carried forward in the precious metals fund and remain available for the purposes of the purchase and sale of precious metal bullion or

specie. The income, gains, and losses from the investment in precious metal bullion or specie must remain in the precious metals fund and must be accounted for separately from other investments made pursuant to this section.

(k) The state treasurer, with the approval of the comptroller of the treasury, may make and enter into contracts, trust instruments, agreements, trade agreements, warrants, and other instruments with a person to effectuate subsection (i), including, but not limited to, financial institutions, brokers, dealers, securities markets and exchanges, accountants, auditors, attorneys, consultants, an entity described in subsection (m), and other contractors. Procurements may be made in a manner prescribed by the state treasurer with the approval of the comptroller of the treasury without regard to the requirements contained in title 12, chapter 3. For the purposes of procuring precious metal bullion for the purpose of fabricating specie as an investment pursuant to subsection (i), the precious metal bullion and specie are not considered goods, as defined in § 12-3-201, and are not subject to § 4-56-107.

(l) The state treasurer, with the approval of the comptroller of the treasury, shall ensure that precious metal bullion or specie is securely maintained and transported, adequately insured, independently audited, and physically segregated from the other assets custodied at a financial institution or other entity described in subsection (m). Expenses incurred pursuant to this subsection (l) may be charged to the earnings of the general fund balances in the state pooled investment fund, or to funds available in the revolving accounts established in §§ 9-4-603(g) and 9-4-612(g).

(m) Precious metal purchased pursuant to subsection (i) must be custodied by the state treasurer in a financial institution, as defined in § 45-11-102, or in an entity designated by the state treasurer with the approval of the comptroller of the treasury.

(n) The records, documents, and papers in the possession of the department of the treasury or another state entity which contain the following information relative to precious metal bullion or specie purchased, sold, and maintained in accordance with

subsections (i) through (m), are confidential and are not open for inspection by members of the public:

- (1) Location;
- (2) Custody;
- (3) Maintenance;
- (4) Transportation;
- (5) Insurance;
- (6) Procurement processes;
- (7) Proposals relative to the procurement of goods or services and

related records, including, but not limited to, evaluations, notices, communications, and memoranda;

(8) Procurement solicitations, requests for quotes, and requests submitted to the state's central procurement office for the procurement of goods and services;

(9) Contracts, agreements, warrants, and confirmations; and

(10) Security, including, but not limited to, alarm systems, security codes, access codes, passwords, security procedures and protocols, security and vulnerability testing, business continuity plans and testing, disaster recovery plans and testing, and audit reports.

(o) As used in this section, "bullion," "precious metal," and "specie" have the same meanings as those terms are defined in § 9-4-1501.

SECTION 4. Tennessee Code Annotated, Title 9, Chapter 1, Part 1, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Coin" means:

(A) Precious metal fabricated into products of uniform shape, size, design, content, weight, and purity that are suitable for or

customarily used as currency, as a medium of exchange, or as the medium for purchase, sale, storage, transfer, or delivery of precious metal in retail or wholesale transactions; or

(B) Refined precious metal bullion, stamped or imprinted with its weight and purity and valued primarily based on its metal content and not its form;

(2) "Legal tender" means a recognized medium of exchange for the payment of debts and taxes;

(3) "Person" means an individual; this state, or a local government, political subdivision, or agent or agency of this state; company; corporation; partnership; firm; trust; organization; or association; and

(4) "Precious metal" means silver and gold.

(b) Precious metal coins are legal tender in this state.

(c) A person shall not compel another person to use or accept precious metal coins as legal tender, unless expressly authorized by law or contract.

(d) The state treasurer may transact, transmit, or exchange precious metal coins through any one (1) or a combination of:

(1) Physical means;

(2) Electronic means; or

(3) Written instruction.

(e) This state, or a department or agency of this state, may, but is not required to, accept payment of taxes, fees, debts, or obligations in precious metal coins.

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it.